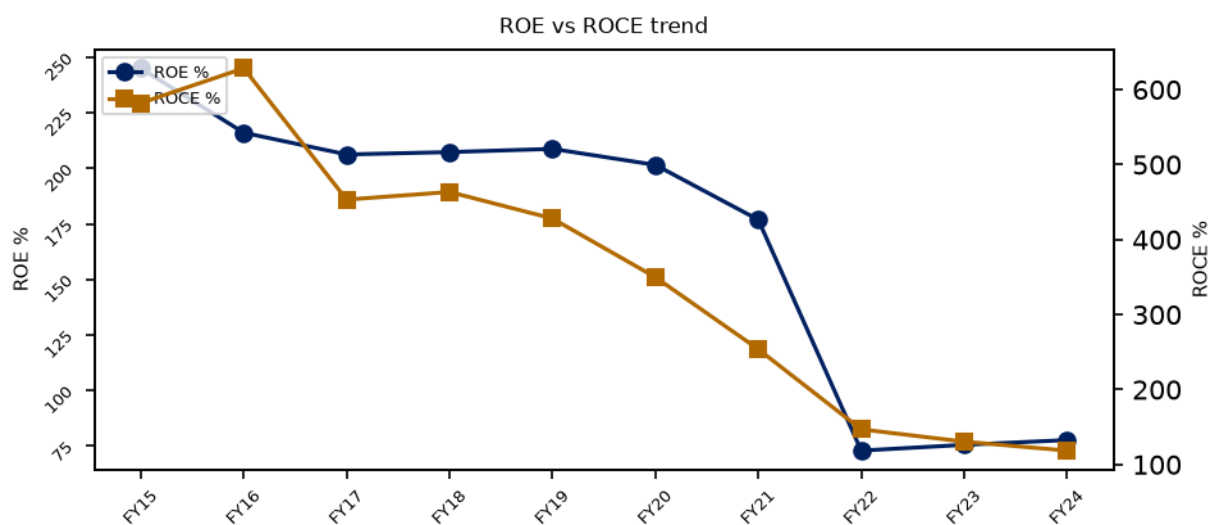
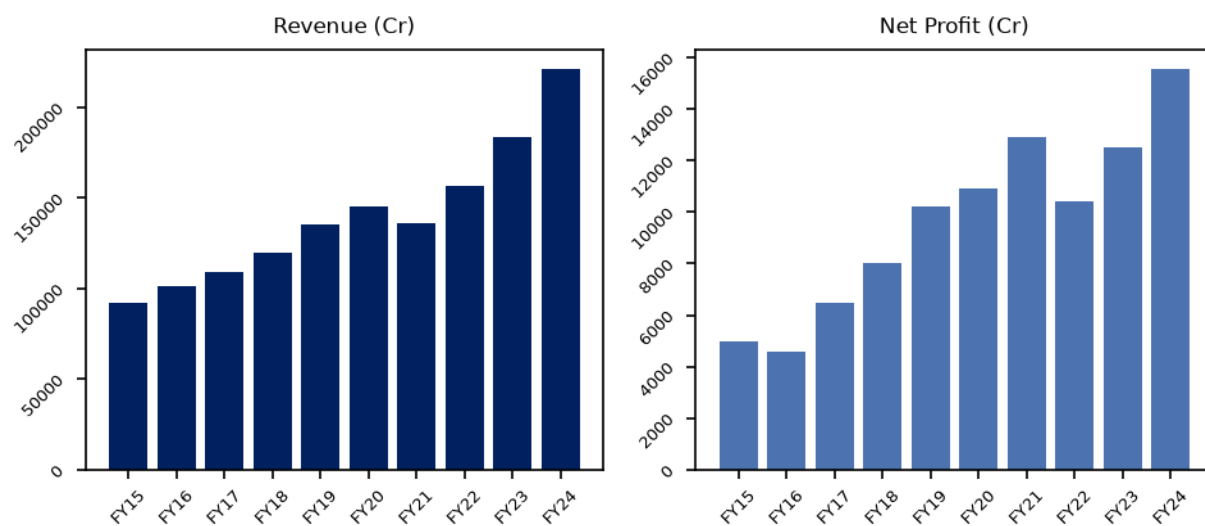
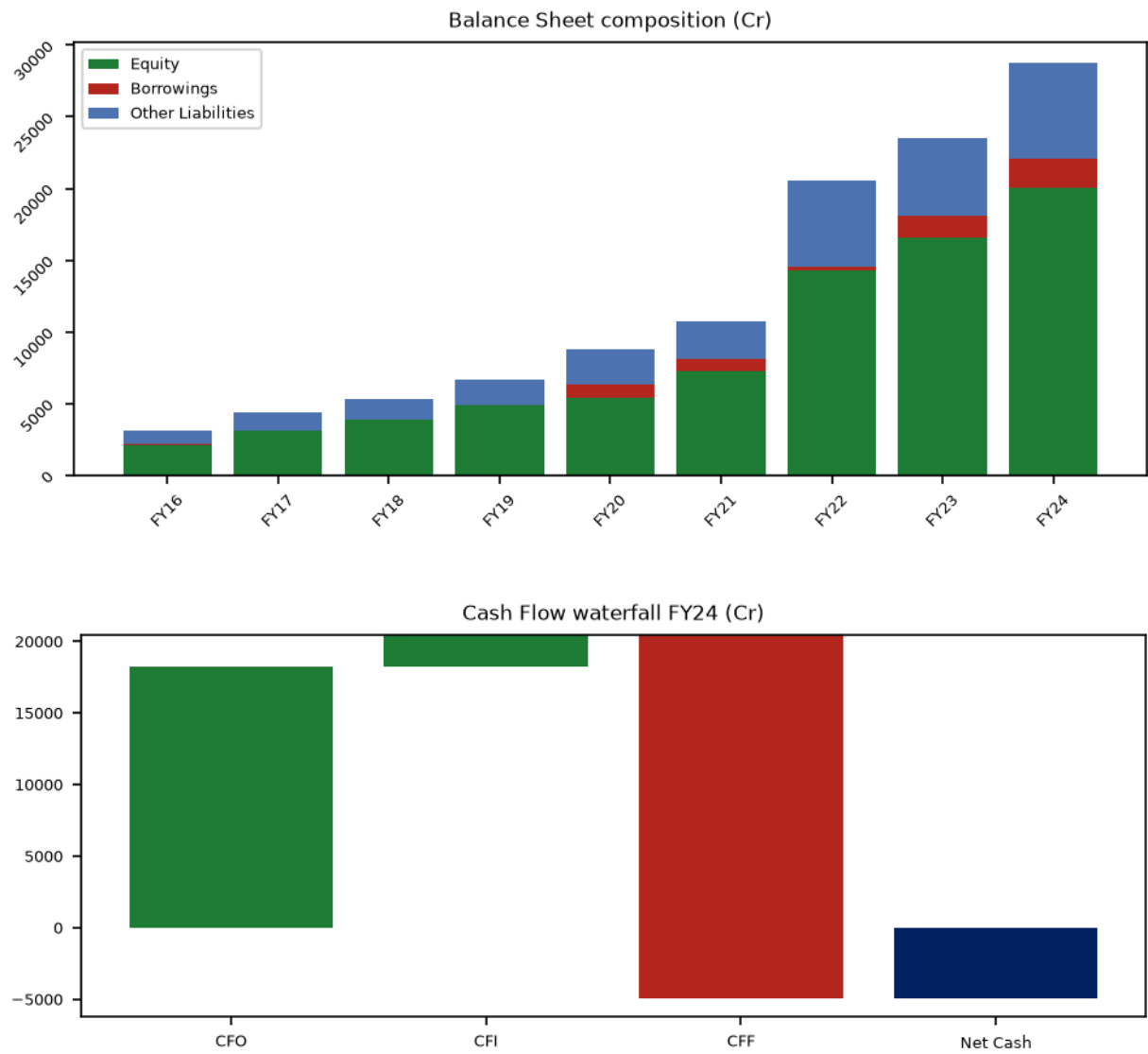


Larsen & Toubro Ltd (LT) — Industrials / Engineering & Construction

77.7 ROE %	118.5 ROCE %	7.0 Net Margin %
0.1x D/E	10.3 Rev CAGR 5Y %	30.8 P/E



LT — Balance Sheet & Cash Flow



Pros

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Growing asset base funded by internal accruals reflects self-sustaining growth
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Net profit compounding at above 20% over 5 years creates significant shareholder value

Cons

- Operating margins declining for 3 consecutive years suggests pricing or cost pressure
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability

Capital Allocation: Divestment & Shareholder Returns